

A PRABHAKAR RAO

on your overall finances. If you learn from your initial mistakes, your confidence levels will increase, and you can slowly start pumping in larger sums. By starting small, you will also prove the popular perception wrong: that stock investing is only for the very rich who can afford to lose.

Once you begin the process of consolidation and are prepared to risk larger sums, make sure you develop a personal investment strategy. Delhi-based investor Rakesh Goyal's advice to investors is simple: "A new investor should invest money in three to four installments. Suppose he has Rs 2 lakh for investment, he should invest 20-30 per cent in first installment, wait for the results and then put in the second and third parts. This is how the investor can minimise or manage the risk and gain experience at every step."

|| 2 MATCH RISK PROFILE WITH YOUR GOALS

Have an objective and a plan for your investments. This is the equivalent of a map in a treasure hunt. When you start investing, you need a plan to guide the choices you make—what instruments to buy, how long to hold

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INVESTING IN STOCKS SINCE 1995

INITIAL INVESTMENT Rs 25 lakh

CURRENT PORTFOLIO VALUE Rs 1 crore

WHAT I DO WHEN THE MARKET FALLS I take any downturn as a chance to invest more.

WHAT I LEARNT Invest for the long term, diversify, always understand your risk, do not chase past performance, and definitely do not fall for exuberance.

Investing in MFs disciplines you. With a lock-in period, you tend to ignore the noise in the market.

